

While leveraging debt adds risk to your finances, you can minimize that risk by having the mindset of someone on the path to FI. Scott Trench illustrated this to Brad and Jonathan through his example of buying his first “house hack” and contrasting it with a “normal” home purchase by someone on the standard path.

Trench bought his first duplex in the Denver area for \$240,000 with only 5 percent down (\$12,000). Tenants on one side paid \$1,150 per month in rent, and he had a roommate living with him and paying him rent. These rents covered his mortgage payment every month. Eliminating his own housing expense allowed him to develop a high savings rate quickly. According to Trench, housing costs represent about 35 percent of spending for the average American household.

Trench contrasted this against a hypothetical purchase of a similar \$240,000 single-family residence with the same 5 percent down payment made by someone taking the standard path through life. They would have a monthly mortgage payment of about \$1,550 each month.

He then gave the example of a real estate crisis where housing prices and rents drop by 30 percent overnight. Even in this worst-case scenario, Trench could still use his reduced rents to cover most